

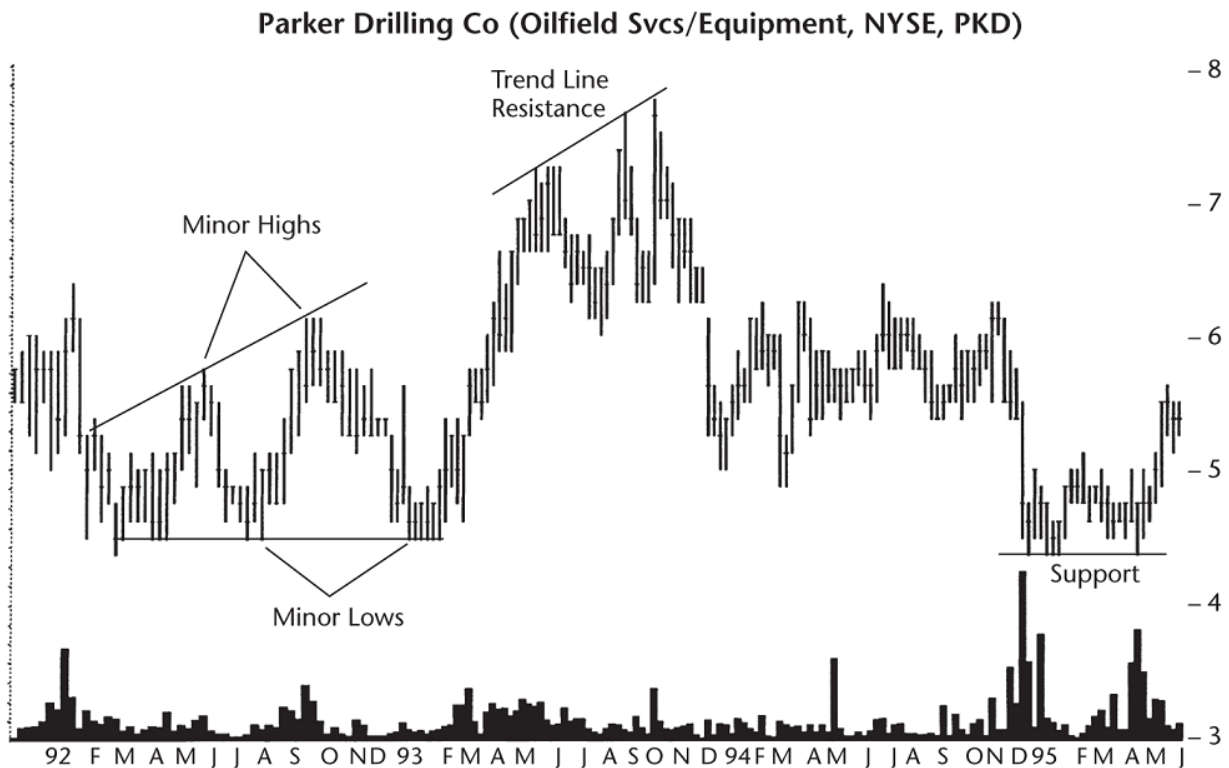


Figure 9.3 Support and resistance areas on a weekly time scale. They appear along the trendline axis and can extend far into the future, as in this case.

Appearance. The overall shape of the formation looks like a megaphone with the bottom of it horizontal.

Horizontal bottom support line. The bottom of the pattern follows a horizontal trendline while an up-sloping trendline bounds the top. Look for price to come close to or touch the trendline at least twice in distinct minor lows.

Up-sloping top trendline. Price should touch the top trendline at least twice, in two minor highs.

Touches. Price should come near to or touch each trendline in minor highs or minor lows. At least five touches are needed to qualify the pattern, but be flexible. Don't count it as a touch when price slices through a trendline. That often occurs at the start and breakout from the pattern. If price doesn't touch a trendline at a minor high or minor low, then it doesn't count as a touch.